

Management Call Debrief: AI & Technology

TCN management call, July 13 · K. Slowinski, Independent AI & Technology Advisor · attendees: Terrel (CEO), Jesse (CTO), Darrin (GTM), Adam (CFO)

Bottom line: the thesis held. Agentic revenue is still "de minimis" (their word): a couple of production customers, 8-15 implementing, ~150 evaluating, and management confirmed **none of the projections bank on AI revenue**. They admitted "quite a lot of downsell" behind the 98%-logo / 81%-GRR gap. The live demo was deferred to a follow-up session, and no containment or cost-per-resolution numbers were offered. Two things did move in TCN's favor and deserve honest credit: SmartAMD's attach curve, and an unprompted claim that third-party voice agents already run **through** TCN's plumbing. And one process reveal changes the frame: this is a founder-exit equity raise with lending attached.

CONFIRMED (THESIS INTACT)

- Virtual-agent revenue near zero: "still de minimis, most are still in trials." Funnel: ~150 evaluating, 8-15 in implementation, "a couple" in production. Projections exclude AI revenue by their own statement.
- Retention: "We don't have a problem with logos churning. We have quite a lot of upsell and downsell." The GRR bridge is still owed in writing.
- Displacement exposure: revenue is 75-80% voice (~60/40 outbound/inbound), so the displaceable channel is most of the company.
- Roadmap gave no dates or owners; the CIP's two in-development items (predictive optimization, real-time audio intelligence) were never mentioned.
- Demo deferred to a separate session. Not a refusal, but the follow-up session now decides the AI question.

MOVED IN TCN'S FAVOR (CREDIT THESE HONESTLY)

- **SmartAMD traction is real:** GA May, "on pace for \$600K ARR" by mid-July on one feature. Claims: 20% lift in >40-second human conversations, 5-7% of screened calls now actionable, 10-15% collections lift, a \$3K-spend / \$25K-collected ROI case. Small but fast, and it's their one proprietary model doing it.
- **Dial-path retention, from their side, unprompted:** "Anybody who wants to do anything with virtual agents in credit and collections almost always has to run through TCN at least a little bit... they run through our plumbing." They also claim 30-40 customers run third-party agents through TCN today "that aren't doing very well." If verified, this is the strongest credit-positive fact of the call: third-party agents arriving through, not around, TCN.
- **Deployment friction may be lower than the AI-native norm:** "configuration, not code"; a simple KYC agent stands up "in a couple of hours"; customers can self-configure with professional-services assist. Either a real advantage or a claim that dies in the demo. Test it live, timed.
- Stack: reasoning runs on Gemini today (OpenAI/Anthropic tried; self-hosted open source being explored); they claim telephony, STT, TTS, guardrails, tools and deterministic logic are in-house. The in-house STT/TTS claim needs written confirmation.

NEW FACTS TO BANK

- Agentic economics per management: 30% substitution of human conversations = +\$125M revenue; 40% = voice revenue to \$167M; explicitly not in the 30-35% growth plan.
- Sweet spot 50-300 agents, ~\$60K ACV, 30-60 day sales cycles; Finvi base holds ~\$70M of takeable competitor revenue; ~\$9B of payments flow through the platform unmonetized; 31 M&A targets (~\$300M acquirable revenue) identified.
- **Process reveal:** Terrel is 76 and "backing out." Closing ask: "alongside the equity support we're looking for is really the lending support too." Founder-exit equity sale with debt attached. Succession, and who runs AI after the transition, is now a first-order diligence item.

STILL OWED / NEXT STEP

- The live demo session (this week): live, off-script, production environment, timed live configuration of a new agent, plus containment and cost-per-resolution from production customers. Watch for an IVR/DTMF flow presented as the AI agent.
- In writing: GRR bridge (8 quarters, churn vs downsell by segment); ARR split committed vs volume-based; agent-funnel detail with ARR and go-live dates; SmartAMD cohort data behind the \$600K pace and lift claims; stack clarification (in-house STT/TTS?); AI org and leadership; roadmap with dates and owners; evidence for the third-party-agents-through-TCN claim and what TCN monetizes per such call.